



BOARD OF DIRECTORS & GENERAL MANAGER RELATIONSHIP

POLICY 1-5

PURPOSE: To establish harmonious and business-like relationship between the Board and the Manager.

INTRODUCTION:

The most important factor in making the success of the Cooperative is good Management and the Manager is the key in providing good management.

For the Manager to do his job properly, he must have the tools and the facilities to do the job and he will require directions from the board on the goals and policies of the organization. This must be accompanied by the authority to develop these goals and policies.

To this end, the Board adopts the following policies.

POLICIES:

1. THE BOARD

- a. Recognizes and accepts its responsibilities to establish policy, approves plans, authorizes programs and exercises financial control and judgment to develop the cooperative's programs.
- b. Develops and promulgates, at regular and special meetings, policies for the direction of the management, exercising care that policies clearly and distinctly define policy intent.
- c. Recognizes the difference in functions of the Board and the Manager and delegates to the Manager the authority to conduct the business of the cooperative within the policies and guidelines established by the Board.
- d. Conducts all of its business in unison as a Board and not act on any cooperative-related business as individuals. Recognizes that no member of the Board is individually empowered to commit the Board of Directors of the cooperative without being specifically granted such authority by the Board action.
- e. Periodically reviews and evaluates the Manager's performance and discusses with him the basis for the Board's evaluation.
- f. Requires the Manager to prepare a written report on current cooperative activities for each Board meeting and to be present at Board meeting to assist the Board in the transaction of its business.



BOARD OF DIRECTORS & GENERAL MANAGER RELATIONSHIP

POLICY 1-5

- g. For the Manager's guidance, develops a job description detailing the responsibilities of the Manager's position and reviews with him periodically his performance in order to develop a mutual understanding of what is expected of management.
 - h. Recognizes that efficient management of the cooperative can exist only through mutual understanding and complete cooperation between the Manager and the Board. Gives the Manager the latitude of judgment in executing and in directing operations within the policies of the Board.
2. In general, the Board should provide the backing and assistance management needs to develop the community support needed by the cooperative.

IMPLEMENTATION:

The Board is responsible for implementing this policy.

(SGD) JACK DULNUAN

(SGD) NICASIO T. ALIPING

ADOPTED pursuant to Board Resolution No. 36 dated March 02, 1974.